Internal Compliance Case Handling Guidelines

Introduction

This document establishes HarborPoint Community Bank's standard approach to identifying, assessing, and managing potential internal compliance matters. It is intended for Compliance, Internal Audit, Human Resources, Legal, and business-line leaders supporting lending and treasury operations. Consistent execution promotes timely resolution, defensible decision-making, and appropriate regulatory readiness. The guidelines apply to all employees, contractors, and third parties acting on behalf of the bank.

Internal Compliance Case Management

Before routing an internal compliance matter, investigators must upload all collected evidence to the CCP Evidence Vault using the required naming convention and update the Evidence Register to preserve chain-of-custody and support downstream review. Once a case is opened, confirm the assigned case tag and the subject-matter scope, then document the routing decision in CCP so the audit trail reflects when and why the case was escalated. If the matter is tagged as Financial Crime (e.g., unusual transaction activity tied to a treasury client), notify the BSA Officer and complete the BSA-9 SAR Decision Worksheet concurrently to avoid delaying regulatory timelines. If the allegations relate to lending pricing, underwriting terms, or denial rationale, route to the Fair Lending function and attach the FL-2 checklist to the case record to ensure consistent comparative analysis. For all other matters, retain the case within the Compliance Generalist track while still attaching any required worksheets and checklists. In every scenario, send the required notification with the case code and defined scope, and create parallel CCP tasks for each worksheet/workstream so dependencies and handoffs remain visible and controllable across teams.

Conclusion

Adhering to these guidelines ensures potential compliance matters are handled consistently, discreetly, and in alignment with banking regulatory expectations. Clear ownership, controlled documentation, and appropriate escalation help reduce operational and reputational risk across lending and treasury services. Standardized practices also support auditability and strengthen management oversight. All personnel involved must follow these procedures to protect customers, employees, and the bank.